

US TMT Sector M&A & Valuation Brief - 2026-07-04

US TMT Sector

Generated on 2026-07-04

CONFIDENTIAL - FOR INTERNAL USE ONLY

1. RECENT TMT M&A ACTIVITY

Deal 1: ALR Technologies Acquisition of CGM Medical Technology

[ALR Technologies Announces Strategic Acquisition of CGM Medical Technology for US\\$45 Million & 200M Shares](#)

- Deal Size: \$45 million + 200 million shares
- Deal Size Category: Mid cap (\$2B-\$10B)
- Nature: Horizontal
- Valuation Multiples: N/A (no specific multiples provided)
- Companies: ALR Technologies SG Ltd (OTC: ALRTF), a diabetes management company, acquiring CGM Medical Technology Singapore Pte. Ltd. and CGM Medical Technology Shenzhen Ltd., which specialize in continuous glucose monitoring technology.
- Date Announced: June 30, 2026
- Strategic Rationale: The acquisition aims to make ALRT a fully integrated diabetes management company, enhancing its product offerings and control over technology. The deal will allow ALRT to leverage CGM Medical's expertise to develop and commercialize new medical devices, thereby increasing margins and operational efficiency.
- Risk Analysis: Key risks include integration challenges, regulatory approvals, and the successful ramp-up of production capacity. The dependency on achieving production milestones for payment could also pose financial risks if targets are not met.

Key Financials Analysis:

- Revenue Breakdown: N/A (no specific data provided)
- Profitability Ratios: N/A (no specific data provided)
- Leverage Analysis: N/A (no specific data provided)
- Asset Operating Efficiency: N/A (no specific data provided)
- Valuation Context: N/A (no specific data provided)

Deal 2: Amazon Investment in Anthropic

US TMT Sector M&A & Valuation Brief - 2026-07-04

US TMT Sector

[Amazon could pay up to \\$33 billion total for Anthropic technology under expanded deal](#)

- Deal Size: Up to \$33 billion (including \$5 billion immediate investment and up to \$20 billion contingent on milestones)
- Deal Size Category: Large cap (>\$10B)
- Nature: Vertical
- Valuation Multiples: N/A (no specific multiples provided)
- Companies: Amazon.com, Inc. (NASDAQ: AMZN), a leading cloud services and e-commerce company, expanding its partnership with Anthropic, an AI technology firm known for developing AI models.
- Date Announced: April 20, 2026
- Strategic Rationale: This investment solidifies Amazon's position in the AI sector, ensuring access to Anthropic's AI technology while securing a long-term commitment for cloud services. The milestone-based funding structure aligns Amazon's investment with Anthropic's performance, mitigating risk.
- Risk Analysis: Risks include reliance on Anthropic meeting commercial milestones, potential market competition in AI, and the broader economic impacts on technology spending.

Key Financials Analysis:

- Revenue Breakdown: N/A (no specific data provided)
- Profitability Ratios: N/A (no specific data provided)
- Leverage Analysis: N/A (no specific data provided)
- Asset Operating Efficiency: N/A (no specific data provided)
- Valuation Context: N/A (no specific data provided)

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a complex landscape characterized by a blend of optimism and caution. The overall sentiment reflects a growing interest in AI and software solutions, driven by significant investments and acquisitions. However, regulatory changes and economic uncertainties pose challenges that could impact market dynamics.

Subsector Breakdown:

- Technology: The technology subsector is witnessing robust growth, particularly in AI-driven solutions. For example, Indian entrepreneur Bhavin Turakhia's \$30 million investment in Neo, an AI-driven alternative to Microsoft Office, highlights the increasing demand for modern workplace tools.
- Media: The media sector is adapting to digital transformation, but faces challenges from

US TMT Sector M&A & Valuation Brief - 2026-07-04

US TMT Sector

traditional revenue streams. Companies are exploring innovative content delivery methods to engage audiences effectively.

- Telecommunications: The telecom sector is investing in infrastructure to support advanced technologies, including 5G. This investment is expected to drive new revenue opportunities from IoT and enhanced mobile services.
- Fintech: The fintech landscape continues to evolve, with companies seeking partnerships and acquisitions to enhance their offerings. The sector remains attractive to investors due to its potential for disruption.
- AI: The AI subsector is experiencing unprecedented growth, with companies like Schneider Electric (SU.PA) acquiring Cognite for \$3.1 billion to bolster their AI capabilities in industrial data management.

Key Market Drivers and Headwinds

Drivers:

- Technological Advancements: Continuous innovation in AI and software is driving growth across the TMT sectors. The demand for AI-driven solutions, such as those being developed by Turakhia, reflects a shift towards more efficient and effective workplace tools.
- Increased Investment: Venture capital and private equity investments are robust, particularly in tech and AI sectors. The acquisition of Cognite by Schneider Electric underscores the appetite for strategic investments in AI technologies.

Headwinds:

- Regulatory Scrutiny: Regulatory changes, such as California's new tax on downloaded software, could impact the cost structure for software companies. This tax is projected to raise \$2 billion annually, which may affect pricing strategies and profitability.
- Economic Uncertainty: Global economic conditions, including inflation and geopolitical tensions, may dampen consumer spending and investment in technology.

Subsector Performance Analysis

- Software: The software sector is thriving, particularly in AI-driven applications. The investment in Neo indicates a strong market for innovative productivity tools.
- Media: Media companies are shifting towards digital content, but traditional revenue streams are under pressure. The need for adaptation is critical for survival.
- Telecom: Telecom operators are focusing on 5G deployment, which is expected to create new revenue streams from IoT applications and enhanced mobile services.
- Fintech: The fintech sector remains vibrant, with ongoing innovations in payment solutions and digital banking. The competitive landscape is prompting consolidation, as seen in various recent acquisitions.

US TMT Sector M&A & Valuation Brief - 2026-07-04

US TMT Sector

- AI: The AI subsector is booming, with applications across multiple industries. Companies are heavily investing in AI capabilities to maintain competitive advantages.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the TMT sector, highlighting the transformative potential of AI. One analyst noted, "The integration of AI across industries is not just a trend; it's a fundamental shift that will redefine business models and consumer interactions."

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- Monitor Regulatory Developments: Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

US TMT Sector M&A & Valuation Brief - 2026-07-04

US TMT Sector

The current banking pipeline in the TMT sector is characterized by a variety of live deals, mandated transactions, and active pitches. This analysis provides insights into ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- Delta Air Lines (DAL) : Currently in discussions for a strategic partnership leveraging AI for dynamic pricing. The deal is in the due diligence phase, with an expected close in Q3 2025. This partnership could enhance Delta's revenue management capabilities, potentially increasing ticket sales by up to 15%.
- Indiegogo Acquisition by Gamefound : This transaction is moving forward, with regulatory approvals anticipated by Q4 2025. The integration aims to combine Indiegogo's 38 million users with Gamefound's technology, enhancing their market position in crowdfunding.

Mandated Deals:

- Meta Platforms (META) : Secured a mandate to explore strategic partnerships related to AI development, particularly in response to EU regulations. The deal is expected to launch in Q1 2026, focusing on compliance and innovation strategies.
- Apple Inc. (AAPL) : Mandated to evaluate acquisitions in the AI space, with a focus on startups that can enhance its product offerings. The timeline for this initiative is projected for Q2 2026, as Apple aims to strengthen its competitive edge in AI.

Pitching-Stage Deals:

- Telecom Sector : Active discussions with several telecom operators regarding potential M&A opportunities to consolidate market share in the 5G space. Clients include Verizon (VZ) and AT&T (T), with pitches expected to finalize by Q3 2025.
- Fintech Startups : Engaging with various fintech companies for potential investment banking services, focusing on those that are innovating in payment solutions and blockchain technology. Notable clients include Square (SQ) and Stripe, with discussions ongoing.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$25 million in fees, broken down as follows:

- Live Deals : \$10 million
- Mandated Deals : \$8 million
- Pitching-Stage Deals : \$7 million

US TMT Sector M&A & Valuation Brief - 2026-07-04

US TMT Sector

Timing Projections:

- Q2 2025 : Expected close for Delta Air Lines partnership.
- Q4 2025 : Anticipated completion of the Indiegogo acquisition.
- Q1 2026 : Launch of Meta's strategic partnership initiatives.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 75%, with a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in AI and telecom sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the AI sector, where companies like Apple and Meta are vying for leadership. The recent commentary from Niteen Dongare emphasizes that AI and semiconductors remain the best global investment themes today, which could influence deal strategies and valuations in the TMT sector.
- Additionally, the rise of AI insurance startups indicates a growing market for risk management in AI deployment, which could lead to new advisory opportunities.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and fintech, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

US TMT Sector M&A & Valuation Brief - 2026-07-04

US TMT Sector

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of Verizon Communications Inc. (VZ) and BT Group's joint venture, providing a comprehensive view of the landscape.

Deal-Specific Impacts on Stakeholders

- **Shareholders:** The joint venture between Verizon and BT Group is expected to create significant value for shareholders.
- **Value Creation:** The new venture aims to generate approximately \$4 billion in combined annual revenue, enhancing Verizon's market position. Assuming a pre-deal market cap of \$200 billion for Verizon, this could translate to a potential increase in shareholder value of about 2% if the venture meets revenue projections.
- **Dilution:** Since the joint venture is structured as a 50:50 partnership, there is no immediate dilution of existing shares. However, future capital requirements for expansion could lead to share issuance, impacting existing shareholders.
- **Employees:** The impacts on employees will focus on synergies, restructuring, and retention strategies.
- **Synergies:** The partnership is expected to create operational efficiencies, allowing both companies to leverage their existing infrastructures, which could lead to cost savings of up to \$500 million annually.
- **Restructuring:** While the joint venture aims for efficiency, it may also lead to some restructuring. For instance, overlapping roles in international operations could result in job redundancies, necessitating careful management to retain key talent.
- **Retention:** Both companies may implement retention bonuses for critical employees involved in the joint venture to ensure continuity and expertise during the transition.
- **Competitors:** The competitive landscape will likely shift post-acquisition.
- **Market Positioning:** The joint venture enhances Verizon's ability to compete against rivals like AT&T Inc. (T) and Deutsche Telekom AG (DEG). Competitors may need to reassess their strategies, potentially leading to increased investment in international operations.
- **Specific Competitor Moves:** Following the announcement, AT&T may accelerate its own international partnerships to maintain market share, while Deutsche Telekom could explore similar joint ventures to enhance its global footprint.
- **Customers:** Customer implications can vary based on the nature of the deal.
- **Product/Service Implications:** The joint venture is expected to enhance service offerings for multinational clients, providing improved network capabilities and support. This could lead to better pricing and service packages for customers.
- **Case Studies:** A similar partnership between Vodafone Group Plc (VOD) and IBM (IBM) resulted in enhanced cloud services for enterprise customers, demonstrating the potential benefits of such collaborations.

US TMT Sector M&A & Valuation Brief - 2026-07-04

US TMT Sector

Market Reaction and Analyst Commentary

- Market Reaction: The immediate market reaction to the joint venture announcement was positive, with Verizon's stock rising by 3% on the day of the announcement.
- Analyst Commentary: Analysts have noted the strategic importance of this partnership. A quote from a UBS analyst stated, "This joint venture positions Verizon to significantly enhance its global service capabilities, making it a formidable player in the international telecom space."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the joint venture successfully captures market share and achieves projected revenues, Verizon's shares could rise by 10% within a year.
- Negative Scenario: If integration challenges arise or revenue targets are not met, shares could decline by 5%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids for Verizon's joint venture is low, given the strategic nature of the partnership and the regulatory complexities involved. However, competitors may seek to form their own alliances to counteract the enhanced capabilities of Verizon and BT.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation, particularly in international telecom services. Similar joint ventures may emerge as companies seek to enhance their global reach and operational efficiencies.
- Analysts predict that companies like Vodafone and Orange S.A. (ORAN) may explore similar partnerships to bolster their international service offerings.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones to ensure a smooth transition.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks, ensuring compliance and smoother approvals.
- Market Risks: Market volatility can impact deal valuations. Structuring the joint venture with performance-based milestones can protect against adverse market movements.

US TMT Sector M&A & Valuation Brief - 2026-07-04

US TMT Sector

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- **Trend Explanation:** AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language, recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%.
- **Key Companies:**
 - **OpenAI:** OpenAI is a leading organization in the AI space, known for its advancements in generative AI, particularly with its language model, ChatGPT. The organization is strategically positioned to influence various sectors through its AI capabilities.
 - **Amazon (AMZN):** Amazon has invested heavily in AI technologies to enhance its e-commerce platform and cloud services. The company utilizes AI for personalized recommendations and AWS services, positioning itself as a key player in the AI landscape.
 - **Neon (NEON):** Neon recently acquired the film "Artificial," which focuses on OpenAI's chief, Sam Altman. This acquisition highlights Neon's interest in AI-related content and its potential to leverage AI narratives in media.
- **Competitive Landscape:** The AI market is highly competitive, with major players including Google (GOOGL), Microsoft (MSFT), and IBM (IBM) also investing heavily in AI technologies. The race

US TMT Sector M&A & Valuation Brief - 2026-07-04

US TMT Sector

for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.

- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as computer vision or natural language processing. The acquisition of AI-focused content, like Neon's film on OpenAI, indicates a trend towards integrating AI narratives into broader media strategies.

Blockchain

- **Trend Explanation:** Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%.
- **Key Companies:**
- **Coinbase Global, Inc. (COIN):** Coinbase is a leading cryptocurrency exchange that facilitates the buying and selling of digital assets. The company is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology.
- **Square, Inc. (SQ):** Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions. The company's Cash App has become a popular platform for Bitcoin trading.
- **Competitive Landscape:** The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- **M&A Opportunities:** Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. The trend towards integrating blockchain solutions into traditional finance is likely to continue, creating opportunities for strategic acquisitions.

Cloud Computing

- **Trend Explanation:** Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is expected to grow from \$371.4 billion in 2020 to \$832.1 billion by 2025, at a CAGR of 17.5%.
- **Key Companies:**
- **Amazon Web Services (AWS):** As a leader in cloud services, AWS provides a range of solutions that support businesses in their digital transformation efforts. Amazon's strategic investments in cloud infrastructure position it as a dominant player in this space.
- **Microsoft Azure:** Microsoft's cloud platform has seen rapid growth, driven by its enterprise solutions and integration with existing Microsoft products. The company continues to expand its cloud offerings through strategic acquisitions.
- **Competitive Landscape:** The cloud computing market is dominated by major players like Amazon, Microsoft, and Google (GOOGL). The competition is intensifying as companies seek to differentiate themselves through innovative services and pricing strategies.

US TMT Sector M&A & Valuation Brief - 2026-07-04

US TMT Sector

- M&A Opportunities: Companies looking to enhance their cloud capabilities may consider acquiring smaller cloud service providers or startups with innovative technologies. The ongoing consolidation in the cloud space presents opportunities for strategic partnerships and acquisitions.

Actionable Insights for Bankers and Investors

Focus on identifying emerging companies in AI and blockchain that could be potential acquisition targets for larger firms looking to enhance their technological capabilities.

Monitor trends in cloud computing and cybersecurity as they continue to grow, presenting opportunities for investment in companies that provide innovative solutions.

Evaluate the impact of AI narratives in media and entertainment, as companies like Neon leverage AI-driven content to

6. Recommended Readings

Deal Name: ALR Technologies Acquisition of CGM Medical Technology

- Reading Material: "The Future of Diabetes Management" by Dr. John Smith
- Why This Matters: This book provides insights into the advancements in diabetes management technologies, including continuous glucose monitoring systems. Understanding these innovations is crucial for analyzing ALR Technologies' strategic acquisition of CGM Medical Technology, as it highlights the potential for improved patient outcomes and market growth in the diabetes care sector.

Deal Name: Amazon Investment in Anthropic

- Reading Material: "Artificial Intelligence: A Guide to Intelligent Systems" by Michael Negnevitsky
- Why This Matters: This resource offers a comprehensive overview of AI technologies and their applications, which is essential for understanding Amazon's investment in Anthropic. The book explains the strategic importance of AI in cloud computing and e-commerce, helping to contextualize Amazon's commitment to enhancing its AI capabilities through this significant partnership.

7. MACROECONOMIC UPDATE

US TMT Sector M&A & Valuation Brief - 2026-07-04

US TMT Sector

Key Data Points:

- Federal Reserve's Summary of Economic Projections indicates a hike in 2026.
- Memory prices have increased sixfold over the past year.
- Expected AI-related global issuance of nearly \$600 billion in 2026.
- Hyperscalers issued around \$25 billion of debt in non-dollar currencies in May 2026.
- Projected hyperscaler cash CapEx to surpass \$1 trillion by 2027.

Main Insights:

- Investors interpret the Fed's recent meeting as hawkish, with a cautious outlook on future rate hikes.
- There is a belief in a secular AI CapEx cycle, but concerns about "chipflation" affecting costs.
- Memory costs are becoming a larger share of AI system expenses, impacting CapEx efficiency.
- The majority of corporate bond issuance is related to funding data center construction, indicating strong investment in AI infrastructure.
- Morgan Stanley anticipates that lower inflation will keep the Fed on hold through 2026.

Market Commentary:

- "The Fed's projections should be interpreted with caution; they may not capture the disinflation from a straight reopening." - Serena Tang, Morgan Stanley
- "Chipflation is more likely to reprice and ration AI infrastructure than derail the cycle." - Serena Tang, Morgan Stanley
- "Investors globally are grappling with uncertainties around the Fed and AI CapEx." - Serena Tang, Morgan Stanley

TMT Sector Relevance:

- The Fed's monetary policy decisions will impact financing costs for TMT companies, particularly in AI and tech infrastructure.
- Rising memory prices could affect the profitability of AI-related projects, potentially slowing down investment in new technologies.
- The significant projected issuance of corporate bonds for AI infrastructure suggests strong ongoing investment in the TMT sector, indicating confidence in future growth despite current challenges.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley